Banks are the largest suppliers of credit. Outstanding bank credit to final users (businesses, governments and households) was about Rs 130 lakh crore. Including credit funded indirectly through non-banks, the outstanding credit of banks was close to Rs 140 lakh crore.

The law permits RBI to provide credit to businesses as well. However, at present, it lends only to the government. The outstanding credit of RBI, almost entirely to the Central government, was about Rs 10 lakh crore. Inclusive of RBI's credit, the credit of the banking system to ultimate borrowers amounted to Rs 150 lakh crore, or about half the total credit of Rs 300 lakh crore.

NBFCs, including HFCs, raise their funds from banks, other financial entities handling savings (MFs, insurance companies) and savers directly in deposits and investment in bonds. NBFCs and HFCs had about Rs 50 lakh crore of credit outstanding primarily to businesses and households.

Long-term savings institutions, like the LIC, MFs, EPF and NPS, provide credit primarily to governments. Their exposure to businesses and households in India is relatively insignificant. Households keep some of their savings directly with the government through the system of small savings. The credit contribution of these savings institutions in the overall outstanding credit was around Rs 70 lakh crore.

The remaining credit—about Rs 30 lakh crore—came from the rest of the world. This included investment by foreign institutional investors (FIIs) in government securities and other corporate bonds and loans by financial institutions in the form of ECBs of businesses.

Non-Banks Provide about Two-thirds of Credit to Governments

A little over Rs 100 lakh crore of total government debt was in the form of securities. At the end of March 2020, the outstanding stock of Central government-dated securities was Rs 65 lakh crore, that of state government securities was Rs 33 lakh crore and outstanding treasury bills were in the